

**BANARAS HINDU UNIVERSITY**

B.Com. (Hons.) FMM — Semester II Examination, 2022-23

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**Paper No. BCF-122: Fundamentals of Business Finance**

Time: 3 Hours

Maximum Marks: 70

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*Instructions: Answer all questions. All questions carry equal marks (14 marks each).*

**Question 1.** “Finance is the life blood of industry.” Elucidate this statement with suitable illustration. [14]

**OR**

“The goal of profit maximization does not provide an operationally useful criterion for measuring the success of business operations.” Explain the above statement in context of the basic objective of the business finance. [14]

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**Question 2.** What are the different types of sources of finance? Explain long-term sources of finance. [14]

**OR**

What is Financial Planning? State its nature and types. [14]

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**Question 3.** “Inadequate capital is disastrous, whereas excess capital is a criminal waste.” Critically evaluate. [14]

**OR**

“Investment, Financing and Dividend decisions are all inter-related.” Comment. [14]

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**Question 4.** What is ‘Capital Budgeting’? Describe the steps involved in the project evaluation of business. [14]

**OR**

Define overall cost of capital. How will you determine the cost of capital from different sources? [14]

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**Question 5.** What are the essentials of an adequate dividend policy? Explain the various types of dividend. [14]

**OR**

Write short notes on any two of the following: [14]

- (a) Factors influencing capital structure of a company
- (b) Stable dividend policy
- (c) Weighted average cost of capital

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